story is still good, the earnings continue to improve, and the fundamentals haven't changed, "can't go much higher" is a terrible reason to snub a stock. Shame on all those experts who advise clients to sell automatically after they double their money. You'll never get a tenbagger doing that.

Stocks such as Philip Morris, Shoney's, Masco, McDonald's, and Stop & Shop have broken the "can't go much higher" barriers year after year.

Frankly, I've never been able to predict which stocks will go up tenfold, or which will go up fivefold. I try to stick with them as long as the story's intact, hoping to be pleasantly surprised. The success of a company isn't the surprise, but what the shares bring often is. I remember buying Stop & Shop as a conservative, dividend-paying stock, and then the fundamentals kept improving and I realized I had a fast grower on my hands.

It's Only $3 a Share: What Can I Lose?

How many times have you heard people say this? Maybe you've said it yourself. You come across some stock that sells for $3 a share, and already you're thinking, "It's a lot safer than buying a $50 stock."

I put in twenty years in the business before it finally dawned on me that whether a stock costs $50 a share or $1 a share, if it goes to zero you still lose everything. If it goes to 50 cents a share, the results are slightly different. The investor who bought in at $50 a share loses 99 percent of his investment, and the investor who bought in at $3 loses 83 percent, but what's the consolation in that?